



Income and wealth

Two of the key concepts of personal finance, income and wealth, represent different states of an individual's finances. Income is moving and often unstable, while wealth is mainly static and stable.



Turning income into wealth

Unless they inherit a large sum of money, or win it in a lottery, most people need to rely on creating wealth through savings. The formula is simple but requires patience and discipline. The amount of money going out each week or month (outgoings) must be kept lower than the amount coming in (income) over the same period, and the difference should be saved and invested as soon as possible.

INCOME (AFTER TAX)

Earnings

Income also includes any benefits or tax allowances as well as returns on investments.



SALARY



RENTAL INCOME



INTEREST



SHARE DIVIDENDS

OUTGOINGS

Costs

Household expenditure can be regulated via a budget, which will help pinpoint where economies can be made.



FOOD



HOUSING



TRANSPORTATION



CLOTHES